MGT 188 FINAL PROJECT

University Submarkets Investing In Homes Near Expanding Universities

San Diego Case Study: SDSU vs UCSD vs USD

Real Estate/ REIT Proposal

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Motivation

Problem:

Universities in San Diego are increasing their enrollment count while the housing market is experiencing a supply squeeze.

However, the local housing market is experiencing a supply constraint, particularly in neighborhoods surrounding major universities.

As a result, student housing demand may place upward pressure on rent and property values in nearby submarkets.

The Opportunity:

For a real estate investment trust (REIT), nearby university housing markets may provide:

- Stable and recurring tenant demand
- Strong rental pricing power
- Long term property appreciation

However, not all university markets perform equally, which motivates a comparative analysis of UCSD, SDSU and USD housing submarkets.

Our Approach

Defining the market:

We compare three San Diego university housing submarket using nearby zip codes as proxies:

- UCSD - University City (92122)
- SDSU - College Area (92115)
- USD - Linda Vista (92110)

Data used:

- University enrollment statistics
- Student housing expansion
- Median home values
- Rent to value ratios
- Transit accessibility

Why this approach works

- Zip codes provide a consistent way to compare nearby housing markets
- Enrollment acts as a proxy for housing demand
- Price and rent data help evaluate investment potential

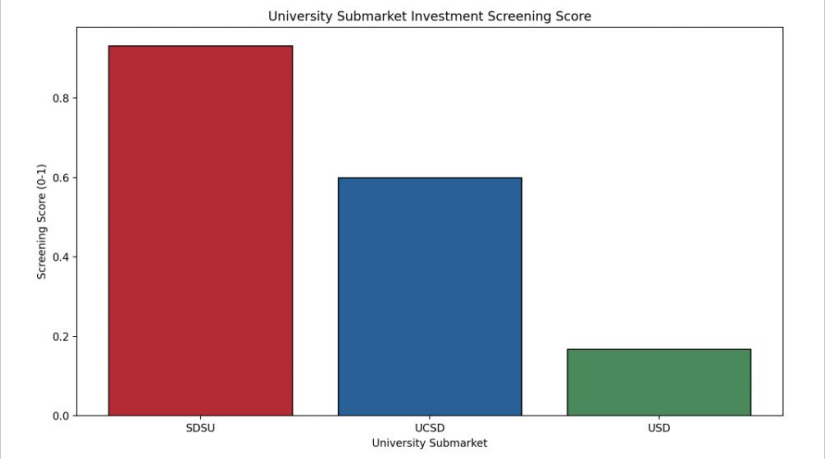
School	Proxy area	Enrollment	Direct rail?	Net new beds	Avg home value	Rent/ value
SDSU	College Area / 92115	39,000	Yes	4,468	$835k	6.18%
UCSD	University City / 92122	44,256	Yes	18,910	$1.073M	3.37%
USD	Linda Vista / 92110	9,714	No direct stop	—	$989k	3.44%

Initial Screening result:

We compare the three university housing markets using a simple multi-factor screening score.

Why SDSU ranks first:

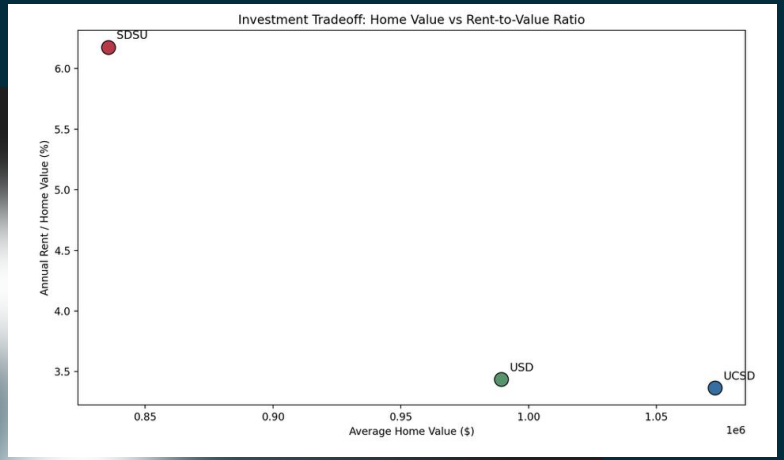
- Lowest entry price among the three submarkets
- Strong rent support (~6.18% rent-to-value)
- Direct green line trolley stop on campus
- Large student population generating housing demand
- Meaningful housing pipeline (~4,468 new beds)

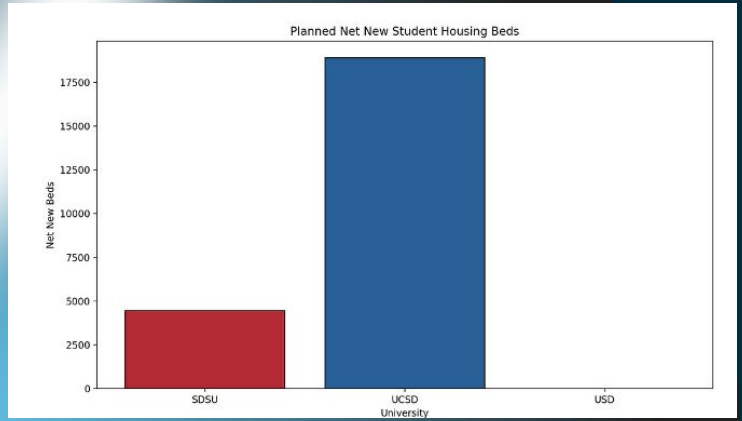


Takeaway:

SDSU offers the strongest combination of value, rental yield, and transit access.

Why SDSU Leads: Better Yield at a Lower Entry Price





01. <u>Yield Advantage (SDSU)</u>

SDSU shows the highest rent-to-value ratio (~6.18%), meaning stronger rental income relative to property price.

02. <u>Entry Price Comparison</u>

Homes near SDSU are significantly cheaper than UCSD and slightly cheaper than USD, lowering the investment entry cost.

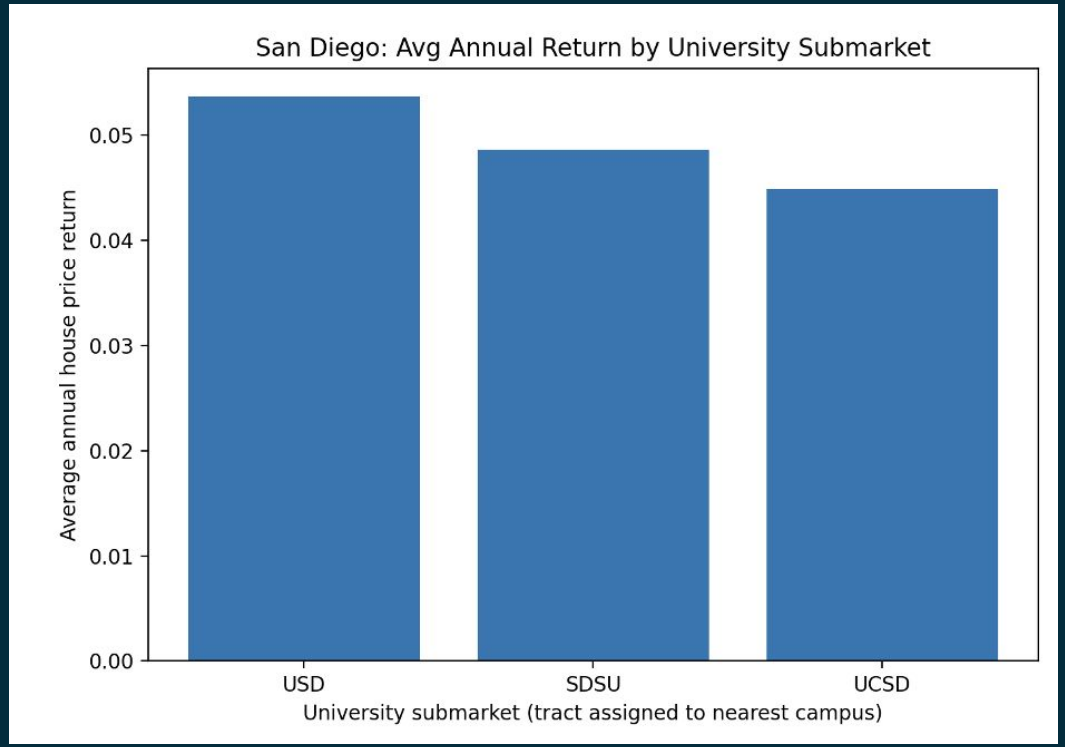
03. <u>UCSD Expansion Signal</u>

UCSD has the largest future student housing pipeline, which could strengthen long term demand despite higher prices.

04. <u>Market Positioning</u>

Overall, SDSU offers the best balance of yield, affordability, and transit access, making it the most attractive entry point.

Historical Check: Long-run Housing Returns



What the historical data shows:

- 1990-2019 average annual housing returns: USD 5.37%, SDSU 4.86%, UCSD 4.49%
- Properties near universities tend to earn a small location premium compared with the broader market period.
- While USD shows the strongest historical appreciation, SDSU remains competitive in long-run returns.

Interpretation:

Historical data shows that all three university submarkets perform well over time.

Even though USD ranks slightly higher historically, SDSU still delivers solid long run returns while offering better current yield and lower entry prices today.

Recommendation and Key Considerations

1. SDSU First

Best balance of affordability, rent support and transit access.

- Lowest entry price among the three markets
- Strong rent-to-value ratio (~6.18%)
- Direct green line trolley to campus
- Large student population driving housing demand

2. UCSD Second

More expensive, but still attractive due to campus scale and future expansion.

- Largest student enrollment
- Biggest planned student housing pipeline
- Strong long-term demand potential

3. USD Benchmark

Useful comparison point, but weaker investment signals

- Smaller student population
- No direct rail access
- Less visible housing expansion pipeline

Key risks:

- Zip codes are proxies for housing markets, not exact campus boundaries.
- University expansion may increase housing supply as well as demand.
- Housing price changes can be volatile in the short run.

Conclusion

Final Recommendation:

A REIT should prioritize university-bordering residential submarkets near SDSU first and UCSD second, using USD mainly as a benchmark.

SDSU ~ Best current investment balance

- Lower average home price than UCSD
- Highest rent-to-value ratio (~6.18%)
- Direct trolley access improves student housing demand

UCSD ~ Long-term growth potential

- Largest university enrollment in the region
- Significant feature housing and campus expansion
- Strong long-run demand but higher property prices

USD ~ benchmark comparison

- Smaller student population and housing demand
- No direct rail connection to campus
- Useful reference point but weaker investment signals

Key takeaway:
Housing markets near universities provide a clear way to identify real estate opportunities, and SDSU currently stands out as the strongest entry point in San Diego

THANK YOU !